



All About the Message

The coalition government brings with it a lot of speculation, and stakeholders are watching out for the message emanating from the Budget

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100 | THE BUDGET that comes after a new government is sworn in would normally not elicit much discussion as it would be dealing with just about eight months when much of the normal announcements made during the Interim Budget would have to be implemented. This time will be different as the Budget is critical from the point of view of all stakeholders for the ‘messaging that is done’. It is the concept of a coalition government which evokes conjecture.

Global credit rating agencies would be watching out for what the Budget holds for the economy and the future when it comes to taking a status check of credit. The industry is watching out for how government expenditure will work out for FY25, whereas individuals will be looking for some tax relief, given the relentlessly high inflation rates in the last 3-4 years. Hence, the Budget will be a landmark one in terms of providing direction on all counts. Higher capex would be positive for industries like steel and cement, while a focus on housing or PLI will impact the concerned sectors discernibly.

What then should one look out for in this Budget? From the perspective of an economist, the budgetary numbers are important as they encapsulate government’s priorities. The continuity in government gives assurance that the starting point will be fiscal prudence and the walk will be

